## 11. Income Taxes

Deferred tax assets and liabilities are determined based on differences between financial reporting and tax basis of assets and liabilities, and are measured by applying enacted tax rates and laws for the taxable years in which those differences are expected to reverse. Deferred tax assets are evaluated for the estimated future tax effects of deductible temporary differences and tax operating loss carryovers. A valuation allowance is recorded when it is more-likely-than-not that a deferred tax asset will not be realized.

The components of income tax expense (benefit) are as follows:

| | Fiscal Year Ended | | |
|---|---|---|---|
| | September 30, 2021 | September 30, 2020 | September 30, 2019 |
| Current: | | | |
| Federal | $ (28.1) | $ 12.5 | $ 10.1 |
| State | 3.8 | 5.0 | 5.0 |
| Deferred: | | | |
| Federal | 28.4 | (19.6) | 0.8 |
| State | 0.5 | (7.5) | (3.1) |
| Total income tax (benefit) expense | $ 4.6 | $ (9.6) | $ 12.8 |



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Income tax expense (benefit) differs from the amount computed at the federal statutory corporate tax rate as follows:

| | Fiscal Year Ended | | |
|---|---|---|---|
| | September 30, 2021 | September 30, 2020 | September 30, 2019 |
| Federal tax at statutory rate | $ 10.7 | $ (10.8) | $ 12.0 |
| State tax, net of federal tax (benefit) expense | 3.6 | (2.5) | 1.5 |
| Tax effect of: | | | |
| Equity-based compensation | 1.2 | 1.5 | 1.0 |
| Provision to return and deferred tax adjustments | (0.6) | (0.7) | (0.9) |
| Non-deductible promotional and entertainment expense | 0.6 | 0.6 | 0.8 |
| Goodwill impairment | — | 3.3 | — |
| Fuel tax credit and other credits | (0.8) | (0.8) | (0.8) |
| Change in uncertain tax positions | — | (0.1) | (0.8) |
| Carryback claim, net of adjustments | (10.1) | — | — |
| Rate change | — | — | 0.1 |
| Other, net | — | (0.1) | (0.1) |
| Income tax expense (benefit) | $ 4.6 | $ (9.6) | $ 12.8 |

The components of the Company’s net deferred tax asset and liability accounts resulting from temporary differences between the tax and financial reporting basis of assets and liabilities are as follows:

| | September 30, 2021 | September 30, 2020 |
|---|---|---|
| Deferred tax assets: | | |
| Interest rate swaps | $ 1.4 | $ 3.3 |
| Self-insurance reserves | 29.6 | 27.4 |
| Deferred compensation | 2.7 | 2.7 |
| Payroll related accruals | 18.3 | 15.8 |
| Other accrued expenses | 1.8 | 5.1 |
| Allowance for doubtful accounts | 0.8 | 0.8 |
| Lease liabilities | 17.7 | 16.6 |
| Net operating loss carryforward | 11.2 | 5.5 |
| Other non-current deferred tax assets | 1.8 | 2.3 |
| Total non-current deferred tax assets | 85.3 | 79.5 |
| Valuation allowance | — | — |
| Total deferred tax assets | $ 85.3 | $ 79.5 |
| | | |
| Deferred tax liabilities: | | |
| Intangible assets | $ 49.0 | $ 53.2 |
| Property and equipment | 79.0 | 42.3 |
| Deferred revenue | 8.7 | 7.1 |
| Prepaid assets | 0.4 | 0.5 |
| Lease assets | 15.9 | 14.8 |
| Other non-current deferred tax liabilities | 0.5 | 0.5 |
| Total non-current deferred tax liabilities | 153.5 | 118.4 |
| Total deferred tax liabilities | $ 68.2 | $ 38.9 |
| Classification on balance sheets: | | |
| Other Assets | $ 2.6 | — |
| Deferred Tax Liabilities | $ 70.8 | $ 38.9 |

***The CARES Act***

In March 2020, the Coronavirus Aid, Relief and Economic Security Act (the "CARES Act") was signed into law and included various provisions to provide additional economic relief to address the impact of the COVID-19 pandemic. Notable provisions included net operating loss carrybacks, adjustments to the interest expense limitations under the U.S Tax Code Section 163(j), increase in the charitable contributions limitation, payroll tax deferrals of the employer portion of social security tax to be repaid in 2021 and 2022, and an employee retention credit for wages paid to an idle employee under certain circumstances resulting from the COVID-19 pandemic.



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The Company recorded a tax receivable and benefit to the tax provision for the anticipated tax net operating losses incurred in 2021 that will be carried back to prior years. The Company recorded an income tax receivable of $39 million and a tax benefit of $10.1 million from the enactment of the CARES Act, net of adjustments. Further, the Company elected to defer the employer portion of social security taxes through 2020 and will file for the employee retention credit allowed for under the CARES Act.

***Net Operating Losses***

The Company has state income tax net operating losses of $207.5 which expire in tax years from fiscal year 2021 through fiscal year 2041. The Company believes it is more likely than not it will be able to utilize all losses to offset future income.

***Uncertain Income Tax Positions***

As of September 30, 2021 and 2020, the Company had no unrecognized tax benefits that, if recognized, would impact the Company's effective tax rate. The total amount of unrecognized tax benefits could change within the next twelve months for a number of reasons including audit settlements, tax examination activities and the recognition and measurement considerations under this guidance.

The Company files income tax returns in the U.S. federal jurisdiction and various state and local jurisdictions. The Company’s returns are no longer subject to U.S. federal and state tax examination for years before 2018 and 2016, respectively.